TENTATIVE RULINGS

DEPT C34

JUDGE H. SHAINA COLOVER

LAW AND MOTION IS HEARD ON THURSDAY AT 1:30 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. in the morning, prior to the afternoon hearing. However, ongoing proceedings may prevent posting by that time. Do not call the Department for tentative rulings if none are posted. Tentative rulings may not be posted on every case. The Court will not entertain a request to continue the hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all parties involved in the subject matter intend to submit on the tentative ruling and do not desire oral argument, then *counsel for each such party shall call* and advise the Courtroom Clerk or Courtroom Attendant by calling **(657) 622-5234** before 12:00 pm on the day of the hearing. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party (or whomever the Court assigns in the ruling) shall give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc*. (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Department C34 **(NOT N6- Please no reserving/filing of motions in N6)** conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at https://www.occourts.org/media-relations/civil.html, prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at https://www.occourts.org/media-relations/aci.html. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are NOT typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. The Court's policy on privately retained court reporters is available on the Court's website at: Privately-Retained Court Reporter Policy.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. **No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.**

TENTATIVE RULINGS

Date: August 6, 2026

#	Case Name	Tentative
1.	**30-2025-01495463** **City of Westminster vs. Brown**	**1. Case Management Conference** **2. Motion to Strike-Anti SLAPP** Defendant Nicole Brown ("Defendant") moves to strike Plaintiff City of Westminster's (the "City") Complaint in its entirety pursuant to Code of Civil Procedure section 425.16. "Litigation of an anti-SLAPP motion involves a two-step process. First, the moving defendant bears the burden of establishing that the challenged allegations or claims arise from protected activity in which the defendant has engaged. Second, for each claim that does arise from protected activity, the plaintiff must show the claim has at least minimal merit. If the plaintiff cannot make this showing, the court will strike the claim." (*Bonni v. St. Joseph Health System* (2021) 11 Cal.5th 995, 1009 (*Bonni*) (internal citations omitted).) In determining whether the plaintiff's claims arise from protected activity, "courts are to consider the elements of the challenged claim and what actions by the defendant supply those elements and consequently form the basis for liability. The defendant's burden is to identify what acts each challenged claim rests on and to show how those acts are protected under a statutorily defined category of protected activity." (*Ibid.* (internal citations omitted).) The anti-SLAPP statute identifies four categories of protected activity: 1. Statements made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law; 2. Statements made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law; 3. Statements made in a place open to the public or a public forum in connection with an issue of public interest; or 4. Any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest. (CCP § 425.16, subd. (e)(1)–(4).) 1. **<u>First Prong</u>** Here, the Complaint asserts causes of action for fraud, conspiracy, false claims and restitution. Plaintiff alleges that "[t]his case arises out of a massive and years-long scheme by Defendants to defraud the City of Westminster and AdminSure, the City's Workers' Compensation Administrator of money and property by falsely and fraudulently inflating the claims made on behalf of Brown . ." and that "[u]nbeknownst to Plaintiff, Defendants have exploited the Workers' Compensation laws of the

State of California by submitting false claims, seeking compensation for alleged injuries which never incurred or were grossly exaggerated." (Compl. ¶¶13-14.)

Defendant contends that the filing of a workers' compensation claim is well-established as a protected activity under California law. Specifically, the filing of a workers' compensation claim constitutes "an act in furtherance of a person's right of petition or free speech" and is made "in connection with an official proceeding authorized by law," specifically the state's Division of Workers' Compensation.

This position finds support in *Leegin Creative Leather Products, Inc. v. Diaz*. (*Leegin Creative Leather Products, Inc. v. Diaz* (2005) 131 Cal.App.4th 1517, 1527, as modified on denial of reh'g (Sept. 6, 2005).) In *Leegin*, the plaintiff conceded that the defendant's actions of filing workers compensation claims were taken "'in furtherance of [her] right of petition or free speech under the United States or California Constitution in connection with a public issue.' (Code Civ. Proc., § 425.16, subd. (e).)" (*Id.* at 1521-22.)

In upholding the trial court's grant of the defendant's anti-SLAPP motion, the appellate court observed: "Permitting an employer to bring a civil action for fraud against an employee while the workers' compensation proceeding is pending could have a chilling effect on an employee's exercise of the right to file a workers' compensation claim." (*Id.* at 1527.) Here, counsel for Defendant submitted a declaration indicating that Defendant initiated a workers' compensation claim which has been ongoing. (Kielty Decl. ¶ 6.)

The City contends that it is not the Workers' Compensation claim or its filing that is the basis of the City's claims. (Oppn at 2:12-14.) However, nearly every substantive paragraph of the Complaint contains some form of allegation that the act alleged was done with the intent to defraud the City and AdminSure (the City's Worker's Compensation Administrator) for the purpose of obtaining compensation—impliedly from the workers compensation fund. (See, e.g., Compl. ¶¶14, 17-34, 40, 43-44.) "A claim arises from protected activity when that activity underlies or forms the basis for the claim." (*Park v. Board of Trustees of California State University* (2017) 2 Cal.5th 1057, 1062 (*Park*).)

Accordingly, the Court finds that the Complaint arises from acts in furtherance of Defendant's right to petition or free speech within the meaning of the statute.

2. **<u>Second Prong</u>**

<u>First Cause of Action for Fraud</u>
Generally, ""'[t]he elements of fraud, which give [] rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.""' (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173.)

Defendant contends that the City cannot establish the elements of justifiable reliance or damages to support its fraud claim and, further, the City has no standing to assert these fraud based claims because the workers compensation system requires an employer to promptly notify its insurer in writing of any facts that would tend to disprove any aspect of any employee's claim—therefore implying that it is the insurer that is responsible for investigating the claim. (Lab. Code §3761.)

Here, the City presents the declaration of Jodie Griner, its director of human resource and risk management. Griner declares that the City was damaged by Defendant's fraud because the City was forced to incur expenses defending itself in Defendant's arbitration hearing in which Defendant

		challenged her termination. (Griner Decl. ¶ 2.) Also, the City had to incur payroll expenses for staff to manage this arbitration claim. (Griner Decl. ¶ 3.) However, there is no evidence or argument by the City as to how reliance on Defendant's misrepresentations resulted in this claimed damage. To the contrary, it would appear that the City terminated Defendant from employment because it found out that she had made misrepresentations. Thus, the City was not relying on the false information when it took the action that resulted in its claimed damages. Accordingly, the motion to strike is **GRANTED as to the first cause of action for fraud**. <u>Third Cause of Action for Violations of California's False Claims Act</u> Defendant neglects to separately address the City's claim under the California False Claims Act. "In 1987, the California Legislature enacted the False Claims Act, patterned on a similar federal statutory scheme, to supplement governmental efforts to identify and prosecute fraudulent claims made against state and local governmental entities. As relevant here, the False Claims Act permits the recovery of civil penalties and treble damages from any person who '[k]nowingly presents or causes to be presented [to the state or any political subdivision] . . . a false claim for payment or approval.' To be liable under the False Claims Act, a person must have actual knowledge of the information, act in deliberate ignorance of the truth or falsity of the information, and/or act in reckless disregard of the truth or falsity of the information." (*Rothschild v. Tyco Internat. (US), Inc.* (2000) 83 Cal.App.4th 488, 494–495 (internal citations omitted).) The City has submitted a copy of the Ruling from the Arbitration Proceedings in which the arbitrator determined that the City's allegations that Defendant acted fraudulently and dishonestly in claiming an inability to work were credible. While this does not appear to be a decision that would be binding upon this Court, Defendant does not deny that the City will be able to present evidence in this case consistent with that presented at the arbitration. This is sufficient to meet the minimal merit standard expressed by the California Supreme Court in *Bonni v. St. Joseph Health System.* (*Bonni, supra,* 11 Cal.5th at 1009.) Accordingly, the motion is **DENIED as to the third cause of action**. <u>Second and Fourth Causes of Action for Conspiracy and Restitution</u> Neither party specifically addressed the conspiracy and restitution claims, which appear to be derivative of the other claims. Since the third causes of action survives, and no argument specific to these claims has been presented, the Court **DENIES the motion as to the second and fourth causes of action**. Due to this mixed outcome, Defendant's request for attorney's fees and costs is **DENIED**. **Defendant to give notice.**
3.	**30-2023-01329362** **Re/Pro Realty vs. Avarca**	**1. Motion to Compel Deposition (Oral or Written)** Plaintiff Re/Pro Realty's motion to compel the deposition of third party Claudia Romo is **DENIED**. Per CRC 3.1300(c), <u>a proof of service of the moving papers must be filed no later than five court days before the time appointed for the hearing.</u> No proof of service was filed with the moving papers. **Plaintiff to give notice.**

4.	**30-2025-01491450** **Stahl vs. Volkswagen Group of America, Inc**	**1. Motion to Compel Answers to Form Interrogatories** **2. Motion to Deem Facts Admitted** ***Form Interrogatories, Set One*** Defendant, Volkswagen Group of America, Inc. ("VWGOA"), moves for an order compelling Plaintiff, Kathleen A. Stahl ("Plaintiff") to provide verified responses to Form Interrogatories, Set One, and for an order for monetary sanctions in the amount of $1,837.50 against Plaintiff and her counsel of record, Strategic Legal Practices. In reply, VWGOA acknowledges that Plaintiff served verified responses to VWGOA's Form Interrogatories, Set One, at the end of June, such that the motion to compel responses is now **MOOT. As such, the motion is DENIED**. At issue is VWGOA's request for sanctions pursuant to Code of Civil Procedure sections 2030.290(c) and 2023.030(a). "[T]he court shall impose a monetary sanction . . . against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a response to interrogatories, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust." (Code Civ. Proc. § 2030.290(c).) Additionally, the court may impose a monetary sanction ordering that one engaging in conduct that is a misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, included attorney's fees incurred as a result of that conduct. (Code Civ. Proc. § 2023.030(a).) The court shall impose a monetary sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (*Ibid.*) Misuses of the discovery process include "[f]ailing to respond or to submit to an authorized method of discovery." (Code Civ. Proc. § 2023.010(d).) Here, VWGOA provides that on March 25, 2026, the agreed-upon extended deadline for responses, Plaintiff served unverified, objection-only responses. (ROA 40, Declaration of Lindsey M. Espinosa, ¶¶ 3-5.) While VWGOA argues that these unverified responses are tantamount to no responses at all, such that Plaintiff failed to serve responses, a response with nothing other than objections does not need to be verified, and only the attorney's signature is required. (Code Civ. Proc. § 2030.250(a), (c).) Under these circumstances, the instant motion is not properly brought under Code of Civil Procedure section 2030.290, there was no failure to respond, and no basis for sanctions. VWGOA's request for monetary sanctions is **DENIED**. ***Deem Requests for Admission, Set One, Admitted*** Defendant, Volkswagen Group of America, Inc. ("VWGOA"), moves for an order that the truth of each matter specified in VWGOA's First Set of Requests for Admission be deemed admitted and conclusively established for all purposes in this action, and for an order for monetary sanctions in the amount of $2,035 against Plaintiff, Kathleen A. Stahl ("Plaintiff"), and her counsel of record, Strategic Legal Practices. In reply, VWGOA acknowledges that Plaintiff served verified responses to VWGOA's Requests for Admission, Set One, at the end of June, such that the instant motion is now **MOOT. As such, the motion is DENIED.**

		What remains is VWGOA's request for sanctions pursuant to Code of Civil Procedure sections 2033.280(c) and 2023.030(a). For a motion to deem requests for admission admitted, it is mandatory for the court to impose a monetary sanction on the party or attorney, or both, who failed to serve timely responses to the requests for admission, and thus necessitated the motion. (Code Civ. Proc. § 2033.280(c).) Like the motion to compel responses to Form Interrogatories above, VWGOA provides that on March 25, 2026, the agreed-upon extended deadline for responses, Plaintiff served unverified, objection-only responses. (ROA 54, Declaration of Lindsey M. Espinosa, ¶¶ 3-5.) Similarly, VWGOA argues that these unverified responses are tantamount to no responses at all, such that Plaintiff failed to serve responses. However, objection-only responses need not be verified. "The party to whom the requests for admission are directed shall sign the response under oath, unless the response contains only objections." (Code Civ. Proc. § 2033.240(a).) "The attorney for the responding party shall sign any response that contains an objection." (Code Civ. Proc. § 2033.240(c).) Under these circumstances, the instant motion is not properly brought under Code of Civil Procedure section 2033.280, there was no failure to respond, and no basis for sanctions. VWGOA's request for monetary sanctions is **DENIED**. **Plaintiff to give notice.**
5.	**30-2025-01456399** **Rodriguez vs. Santa Ana Unified School District**	**1. Motion to Compel Answers to Form Interrogatories** Plaintiff Jared Rodriguez ("Plaintiff") moves to compel Defendant Julian Orozco ("Defendant") to provide further responses to Form Interrogatories Nos. 2.5, 4.1, 11.1, 11.2, and 12.1. The parties appear to agree that Defendant provided supplemental responses after the motion was filed. (See Opposition at p. 2:12-15 and Reply at p. 1:1-28.) Neither party provided the Court with a copy of the verified supplemental responses that Defendant provided on 07/16/2026. As such, the Court is unable to determine the sufficiency of such responses. (See *County of San Benito v. Superior Court* (2023) 96 Cal.App.5th 243, 256 [permitting the Court to determine if the further responses provided after the motion was filed were sufficient when the further responses were submitted with the opposition or reply papers].) For this reason, the Court finds that the **motion is MOOT** as to the responses at issue in the motion since further responses were provided on 07/16/2026. Plaintiff may file an additional motion to compel further responses based on the 07/16/2026 supplemental responses pursuant to code – the deadline to file such a motion has not yet passed. Still, the Court finds reduced sanctions are appropriate as it was only *after* Plaintiff filed the motion to compel that Defendant provided further responses. Accordingly, Plaintiff's request for sanctions is GRANTED in the **reduced amount of $810** (1.5 hours at $500/hour = $750 plus $60 filing fee). **Plaintiff to give notice.**

6.	**30-2025-01514516** **Zhu vs. Wu**	**1. Case Management Conference** **2. Motion for Preliminary Injunction** Plaintiffs Shujun Zhu and Blue Gum Warehouse, LLC ("Plaintiffs") move for a preliminary injunction and asks the Court for an order: (1) enjoining Defendants Ji Wu, John Chung-Ching Tu, and Peakland Warehouse 1315, Inc. from interfering with Plaintiff Shujun Zhu's exercise of 56.7% of the voting rights in Blue Gum Warehouse, LLC, (2) suspending and enjoining Defendants' voting and governance rights in Blue Gum Warehouse, LLC during the pendency of this action, (3) enjoining the dissipation or transfer of Blue Gum Warehouse, LLC assets, and (4) mandating preservation of all financial records of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents relating to Blue Gum Warehouse, LLC. Defendants Ji Wu, John Chung-Ching Tu, and Blue Gum Warehouse, LLC ("Defendants") oppose the motion. The original hearing on this Motion took place on 06/18/2026. (ROA 105.) After oral arguments, the Court continued the hearing to allow Plaintiff to file a "supplemental declaration regarding new facts" and Defendant to file a "sur-reply brief regarding new facts." After reviewing the newly submitted evidence the Court is not persuaded that the evidence changes the Court's original conclusions. As such, the Court adopts its original tentative ruling as follows: Plaintiffs Shujun Zhu and Blue Gum Warehouse, LLC ("Plaintiffs") move for a preliminary injunction and asks the Court for an order: (1) enjoining Defendants Ji Wu, John Chung-Ching Tu, and Peakland Warehouse 1315, Inc. from interfering with Plaintiff Shujun Zhu's exercise of 56.7% of the voting rights in Blue Gum Warehouse, LLC, (2) suspending and enjoining Defendants' voting and governance rights in Blue Gum Warehouse, LLC during the pendency of this action, (3) enjoining the dissipation or transfer of Blue Gum Warehouse, LLC assets, and (4) mandating preservation of all financial records of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents relating to Blue Gum Warehouse, LLC. Defendants Ji Wu, John Chung-Ching Tu, and Blue Gum Warehouse, LLC ("Defendants") oppose the motion. The Motion is **GRANTED in part and DENIED in part**, as follows: The Motion is **GRANTED** as to Plaintiff's request to mandate the preservation of all financial records of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents relating to Blue Gum Warehouse, LLC. The Motion is **DENIED** as to the other requests. ///

A. Preliminary Injunction

"An injunction is a writ or order requiring a person to refrain from a particular act." (Code Civ. Proc., § 525.) "It may be granted by the court in which the action is brought, or by a judge thereof; and when granted by a judge, it may be enforced as an order of the court." (Code Civ. Proc., § 525.)

Pursuant to Code of Civil Procedure section 527:

> "A preliminary injunction may be granted at any time before judgment upon a verified complaint, or upon affidavits if the complaint in the one case, or the affidavits in the other, show satisfactorily that sufficient grounds exist therefor. No preliminary injunction shall be granted without notice to the opposing party." (Code Civ. Proc., § 527(a).)

"A trial court may grant a preliminary injunction upon a showing that (1) the party seeking the injunction is likely to prevail on the merits at trial, and (2) the interim harm to that party if an injunction is denied is greater than the [interim] harm the [opposing party] is likely to suffer if the ... injunction is issued." (*Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc*. (2016) 6 Cal.App.5th 1178, 1183 [internal quotations omitted].)

"These two showings operate on a sliding scale: '[T]he more likely it is that [the party seeking the injunction] will ultimately prevail, the less severe must be the harm that they allege will occur if the injunction does not issue.' [Citation.]" (*Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc*. (2016) 6 Cal.App.5th 1178, 1183.)

The burden is on the moving party to show all elements necessary to support issuance of a preliminary injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.)

"Although preliminary injunctions are generally designed to preserve the status quo pending a determination on the merits of the action, [citation], they are not so limited." (*Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.* (2016) 6 Cal.App.5th 1178, 1183–1184 [internal quotations and citations omitted].) "A court also has the power to issue a preliminary injunction that mandates an affirmative act that changes the status quo [citation], but should do so only in those extreme cases where the right thereto is clearly established." (*Id*., at 1184.)

"Although the status quo for these purposes can be easily defined as the last actual peaceable, uncontested status which preceded the pending controversy [citation], determining whether a particular order alters the status quo can be more difficult." (*Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.* (2016) 6 Cal.App.5th 1178, 1184 [internal quotations and citations omitted].)

Importantly, a ruling on an application for preliminary injunction is NOT an adjudication on the merits of the ultimate rights in controversy. (*Shoemaker v. County of Los Angeles* (1995) 37 Cal.App.4th 618, 625 [the "decision [on the preliminary injunction] does not constitute a final adjudication of the ultimate rights in controversy."].) It merely represents the trial court's discretionary decision whether defendant should be restrained from exercising a claimed right pending trial. (*Cohen v. Board of Supervisors* (9185) 40 Cal.3d 277, 286.)

B. Analysis

Here, the Court finds that the sliding scale weighs in favor of denying the motion.

Based on the evidence submitted by both parties, the Court is not positioned to make any determinations on the merits of the facts of the case and therefore cannot determine the likelihood that the Plaintiffs will prevail on the merits of this case at trial. In fact, Plaintiff failed to address the causes of action alleged in the Complaint and therefore has not sufficiently address the likelihood that Plaintiff will prevail at trial.

Even so, the moving and opposing papers submit conflicting evidence wherein both parties claim to be the rightful party in control. When considering the conflicting evidence, the Court is not positioned to determine who is the credible party, who owns the majority shares, and who committed any wrongdoings.

Plaintiff cites to *Meyberg v. Superior Court of Los Angeles County* (1942) 19 Cal.2d 336, 341 for his contention that "Courts of equity have power to protect the voting rights of shareholders as an incident of property ownership" and "[i]f a court of equity has the power to enjoin the voting of stock it also has the power to restrain unlawful interference with a stockholder's right to vote stock owned by him."

While this may be true, the Court still is not persuaded that Plaintiff has established that he truly controls 56.7% of the voting rights pursuant to the Operating Agreement of Blue Gum Warehouse LLC.

Plaintiff argues that he controls 56.7% of the voting rights based on his $1.5 million in capital contributions to the company. The Operating Agreement of Blue Gum Warehouse LLC and the related Articles of Incorporation, however, show that Plaintiff only has a 30% ownership interest and therefore 30% of the voting rights. In his Complaint, Plaintiff alleges that "[a]t all times relevant to the events alleged herein, Plaintiff was the owner of a 35% membership interest in Blue Gum." (Complaint, ¶ 6.) Although, the Court notes that this is not a verified Complaint. Moreover, Plaintiff's Verified Petition for Writ of Mandate signed on 12/18/2024 states that "Petitioner Zhu is the owner of record of 35% of the issued and outstanding membership interests in Blue Gum." (Verified Petition, ¶ 5.)

While Plaintiff argues that he has contributed 56.7% of the capital to the company, Plaintiff does not show proof of an agreement with the corporation and/or its members or managements that he contributed the additional capital in exchange for additional ownership or voting interest. The evidence before the Court shows no agreements or meeting of the minds that would establish that the additional capital was contributed in exchange for additional shares. Similarly, the Operating Agreement appears to show that such interest must only be memorialized by a Certificate of Membership Interest. Plaintiff does not present such a Certificate of Membership Interest that establishes his claimed 56.7% interest in the company.

Accordingly, the Court is not positioned to determine whether either Plaintiff is likely to succeed on the merits of the claims asserted in the operative complaint.

Additionally, the Court is not persuaded that the interim harm to that Plaintiff if an injunction is denied is greater than the interim harm the Defendants are likely to suffer if the injunction is issued. The only harm that Plaintiff alleges will occur appears to have already occurred. On reply, Plaintiff provided evidence of what appears to be a Grant Deed that transfers the property at issue from Blue Gum Warehouse, LLC to Waterwind LLC. Both parties contend that they will lose their voting power if the Court rules against them– making the harm equal. The Court is not prepared to disturb the status quo of the operation of Blue Gum Warehouse, LLC pending a determination on the merits of the action.

		Given the above, the Motion is **GRANTED as to Plaintiff's request to mandate the preservation of all financial records** of Blue Gum Warehouse, LLC, Peakland Management Anaheim, Inc., and Peakland Warehouse 1315, Inc., and **requiring Defendants to maintain and not destroy, alter, conceal, or transfer any books, records, bank statements, ledgers, leases, or other financial documents** relating to Blue Gum Warehouse, LLC. The Motion is **DENIED WITHOUT PREJUDICE** as to the other requests. Plaintiff's requests for judicial notice are **GRANTED**. **Defendants to give notice.**
7.	**30-2023-01351358** **Kirstein vs. Laguna Beach Unified School District**	**1. Motion to Compel Deposition (Oral or Written)** Plaintiff Brad Kirstein seeks an order compelling the deposition of Defendants James Ray Taylor and Taylor Tennis Courts, Inc.'s designated expert, Bryan Randles. The motion is **GRANTED**. Defendants do not deny that Plaintiff is entitled to depose their expert. However, they contend that Plaintiff's motion was filed too late because this Court's 2/23/26 order continuing the trial date stated that "All Discovery and Expert related dates are to remain closed except for the outstanding IMEs and Expert Depositions. Trial related dates only, shall flow from the new trial date." (ROA 79.) Defendants (whose opposition to this motion was not timely filed) contend that, while this Court authorized Plaintiff to depose experts after the trial date was continued, the Court did not extend the deadline to compel Defendants to produce their experts. This argument is not well taken. Plaintiff has submitted evidence that he initially served a deposition notice for Randles' deposition on 1/29/26. (Buus Decl. ¶ 3, Exh. 2.) Defendants objected on 2/4/26. (Buus Decl. ¶ 4.) On 2/23/26, this Court continued the trial date to 8/31/26. After attempting to meet and confer on a deposition date over the course of several months, with no dates proffered by Defendants, Plaintiff's counsel served an Amended Deposition Notice on 4/27/26, with a deposition date of 6/1/26. (Buus Decl. ¶ 9, Exh. 8.) On 5/27/26, Defendants' counsel served objections to the amended notice. (Buus Decl. ¶ 10.) Plaintiff filed this motion on 6/18/26. The timeline set forth above evidences that, rather than providing their expert for deposition—which they do not deny Plaintiff is entitled to—Defendants seemingly have attempted to run out the clock so that Plaintiff does not have time to depose their expert. While Defendants state that they are now willing to produce their expert for deposition, and have provided one date on which he is available, the Court finds that an order compelling the deposition is still necessary. Accordingly, Defendants are **ORDERED to produce their expert, Bryan Randles, for his deposition within 10 days of this order.** Additionally, sanctions of $1,042.50 (1.5 hrs at $695/hr) are issued against Defendants James Ray Taylor and Taylor Tennis Courts, Inc., jointly and severally. Sanctions are due and payable to Plaintiff's counsel within 30 days of this order. (CCP §§2034.410; 2025.450(g)(1).) **Plaintiff to give notice.**

8.	**30-2023-01363497** **Yang vs. California TD Specialists**	**1. Motion for Judgment on the Pleadings** **2. Motion to Compel Further Responses to Form Interrogatories** **3. Motion to Compel Further Responses to Form Interrogatories** **4. Motion to Compel Production** **5. Motion to Compel Production** **<u>Motion for Judgement on the Pleadings</u>** Defendants James A. Stearman and Sandra M.K. Stearman, Trustees of the Stearman Trust UAD 11/19/87 ("Stearman Defendants") move for judgment on the pleadings against the First Amended Complaint (FAC) of plaintiff Pi-Fang Yang, Trustee of the YPF Trust ("Plaintiff"). For the reasons set forth below, the Motion is **DENIED in part and GRANTED in part with leave to amend**. <u>First Cause of Action for Breaches of Contracts and Implied Covenant of Good Faith and Fair Dealing</u> Under this cause of action, Plaintiff alleges that Cal TD sold the subject property on behalf of other defendants. However, as the Court previously held with regard to Cal TD's Demurrer to the FAC, there is no contractual relationship between the trustee and the purchaser of the foreclosed property. (*Pro Value Properties, Inc. v. Quality Loan Service Corp*. (2009) 170 Cal.App.4th 579, 583.) The FAC also does not suggest that any contract was entered into between Plaintiff and the Stearman Defendants. Thus, the Motion to the **first cause of action** is **GRANTED with 20 days leave to amend**. <u>Second Cause of Action for Negligence and Breach of Auctioneer's Duties</u> The Stearman Defendants argue this cause of action fails because the Court recognized that it is barred by the privilege afforded to Cal TD by Civil Code section 2924(d). However, in the Court's 11/21/24 Order, the Court overruled Cal TD's Demurrer to this cause of action, as the allegations are sufficient to allege malice. Thus, this argument is rejected. The Stearman Defendants also argue that this claim fails because Cal TD owed Plaintiff no duty of care and it is barred by the economic loss rule. The Court rejected these same arguments in its 11/21/24 Order. The Stearman Defendants further argue that the FAC fails to the extent that Plaintiff is attempting to apply the doctrine of negligence per se based on a violation of Civil Code section 1812.600 because the doctrine cannot be used to establish a duty of care by reference to a statute. Instead, they argue, Plaintiff must allege the existence of a duty of care independent of section 1812.600. As discussed above, the Stearman Defendants' arguments regarding no duty of care lack merit and Plaintiff has alleged the existence of an independent duty of care. Thus, this argument also fails. Thus, the Motion as to the **second cause of action** is **DENIED**. <u>Third Cause of Action for Conversion and Embezzlement</u> The Stearman Defendants again argue that the Court previously held that this action is barred by Civil Code section 2924(d). However, Cal TD's Demurrer to the FAC was overruled. The Stearman Defendants alternatively argue that this claim fails because Plaintiff has not alleged that they substantially interfered with Plaintiff's property or that any money was tendered to them. " 'The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. . . .' [Citation.]" (*Hodges v. County of Placer* (2019) 41 Cal.App.5th 537, 551.)

Plaintiff alleges that Defendants concealed the true facts regarding the property and Plaintiff would not have purchased the property if those true facts were known. Plaintiff further alleges that Cal TD artificially and fraudulently increased the bid for the property and Plaintiff has sustained damages as a result by being deprived of the use and enjoyment of the property, unplanned tax liabilities, loss of income and profits, loss of equity, and costs in rehabilitating the title of the property.

The Stearman Defendants' arguments that this cause of action fails as to them because there is no allegation that any property was tendered to them for them to convert has merit. Plaintiff does not allege that the Stearman Defendants have wrongfully exercised dominion over any of Plaintiff's property. Thus, this cause of action is not sufficiently pled and the Motion to the **third cause of action** is **GRANTED with 20 days leave to amend**.

Fourth Cause of Action for Theft by False Pretenses

This cause of action is brought under Penal Code section 496(a) which states, in relevant part:

> Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.

With respect to Cal TD's prior Demurrer, the Court held that Penal Code section 496(a) does not apply to the facts alleged because the money received by Cal TD was not stolen or obtained by Plaintiff through a manner constituting theft or extortion and, therefore, Cal TD did not buy or receive any stolen property. Similarly, here, the FAC does not allege that the Stearman Defendants bought or received any property that had been stolen or obtained by theft or extortion. Thus, the Motion to the **fourth cause of action** is **GRANTED with 20 days leave to amend**.

Fifth Cause of Action for Quiet Title

The Stearman Defendants argue this cause of action is deficient because Plaintiff does not allege any competing claim of title to the subject property. This argument has merit. The FAC does not plead any facts showing that the Stearman Defendants have asserted any interest in the title to the subject property. Instead, Plaintiff only alleges that Cal TD sold Plaintiff the entire title of the subject property without any liens or encumbrances and Plaintiff is now entitled to complete title without the undisclosed liens and encumbrances. There are no facts alleged showing that the Stearman Defendants are asserting any interest or claim to the title of the property via those liens and encumbrances. Thus, the Motion to the **fifth cause of action** is **GRANTED with 20 days leave to amend**.

Sixth Cause of Action for Declaratory and Injunctive Relief

Under the sixth cause of action, Plaintiff seeks an order directing Defendants to convey to Plaintiff any and all interests in the subject property without any lien recorded against the title. The Stearman Defendants argue that this fails because the foreclosure sale has already occurred. "Declaratory relief operates prospectively to declare future rights, rather than to redress past wrongs. . . . Where, . . . , a party has a fully matured cause of action for money, the party must seek the remedy of damages, and not pursue a declaratory relief claim." (*Canova v. Trustees of Imperial Irr. Dist. Employee Pension Plan* (2007) 150 Cal.App.4th 1487, 1497.) Here, the Stearman Defendants' arguments are correct that Plaintiff's declaratory relief claim improperly seeks to redress past wrongs rather than address future rights between the parties.

Further, as the Court previously held, injunctive relief is a remedy, not a standalone cause of action. (*MaJor v. Miraverde Homeowners Assn*. (1992) 7 Cal.App.4th 618, 623.) Accordingly, the Motion to the **sixth cause of action** is **GRANTED with 20 days leave to amend**.

Moving party to give notice.

Motions To Compel (x4)

Plaintiff Pi-Fang Yang, Trustee of the YPF Trust ("Plaintiff") moves to compel defendants James A. Stearman and Sandra M.K. Stearman, Trustees of the Stearman Trust UAD 11/19/87 ("Defendants") to serve further responses to Plaintiff's Demands for Production of Documents, Nos. 1-14, 18, 19, 22, 24-26, 33-36 and Form Interrogatories, Nos. 12.1, 15.1, 50.1, 50.2, 50.3, 50.4, 50.5, and 50.6.

Demands for Production

Defendants' responses to each of the disputed demands states in part: "Responding Party will comply with this request, in whole, and produce all requested documents that are in the care, custody or control of Responding Party, pursuant to the protective order issued in this case."

Plaintiff argues further responses are warranted because the responses imply that Defendants are withholding documents but no privilege log has been provided and, further, no documents have been produced. However, documents have now been produced and Defendants have not withheld any documents based on a claim of privilege or work product. (Declaration of Michael W. Stoltzman, Jr. ¶ 6.) Thus, the motions are **DENIED**.

Form Interrogatories

Plaintiff argues that Defendants' Preliminary Statement is in violation of the Discovery Act and relevant case law. However, Plaintiff offers no legal authority in support of the argument that it must be stricken or is somehow improper.

Further, despite the fact that Defendants' responses are prefaced with objections, it appears that Defendants' responses are full and complete. There is no indication that any information has been withheld based on the asserted objections and Plaintiff's arguments in support of further responses are not persuasive. For example, Plaintiff argues that the response to No. 12.1 is deficient because Defendants do not identify any individual or provide contact information for witnesses to the incident. However, Defendants' responses identify all parties to this action as witnesses and indicate that they may be contacted through counsel. The responses further indicate that the identity of other witnesses are either unknown or identified in documents produced by Cal TD. Plaintiff's contention that these responses are deficient has no merit.

As to the 50 series, which relates to any agreements alleged in the pleadings, Defendants responded with objections only based on, among other things, lack of relevance. Cal TD provided a virtually identical response to this series and the Court denied Plaintiff's motion to compel further responses because the Court had sustained Cal TD's demurrer to the breach of contract cause of action without leave to amend. Defendants argue that Plaintiff's motion must again be denied.

As discussed with regard to Defendants' Demurrer to the FAC, Plaintiff's operative pleading does not adequately allege the existence of any contract between Defendants and Plaintiff. Because there is no viable cause of action for breach of contract as to Defendants, the 50 series of interrogatories are not relevant. Thus, the motions are **DENIED**.

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		<u>Meet and Confer</u> Plaintiff contends that no response to the 12/16/25 meet and confer letter was received. However, Defendants' counsel's declaration establishes that a response was emailed on 12/29/25. That email asked Plaintiff for further clarification on the asserted deficiencies in Defendants' responses. Thus, Plaintiff's contention that no response was ever received and that Plaintiff fully met and conferred in good faith appears to be without merit. As shown herein, Plaintiff's motions as to the FROGs have no merit. Further, while Plaintiff may have been right to file the motions as to the demands for production based on Defendants' failure to provide a document production before the motions were filed, Defendants' counsel's email in response to Plaintiff's meet and confer letter advised that the documents would be produced within the next few weeks. Defendants were not refusing to provide responsive documents and if Plaintiff had engaged in a reasonable and good faith attempt to resolve these issues before filing, these motions could have been avoided. Monetary sanctions may be imposed against Plaintiff for the failure to conduct a reasonable and good faith attempt to resolve the issues informally, even if Plaintiff's motions are successful. (Code Civ. Proc., § 2023.020 ["Notwithstanding the outcome of the particular discovery motion, the court shall impose a monetary sanction ordering that any party or attorney who fails to confer as required pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct."].) Although some meeting and conferring was attempted, it does not appear Plaintiff made a reasonable attempt to resolve the issues raised in these motions informally. Although the court will not award sanctions against Plaintiff *at this time*, any future failure to fully comply fully with the meet and confer requirements may result in the granting of requested sanctions in the future. **Moving party to give notice.**
9.	**30-2022-01296297** **Atkins vs. TLH Enterprises, LLC**	**1. Motion to Compel Production** **Hearing CONTINUED to 08/27/26 at 1:30 pm in C34.** ***This matter appears from the briefing to be before the **discovery referee**. If the referee rules on this issue, the hearing before the Court will be taken off calendar. (Please file a copy of the referee's report/ruling prior to the hearing date.) ***However, if this matter is *not* before the discovery referee, or if the referee determines they are not going to rule on this issue, THEN this hearing on 10/8/26 will move forward, and then any Opposition(s) (referred to in Plaintiff's reply brief ROA #817) must be filed with *this* court at least 9 days before the hearing. Plaintiff has already filed a Reply Brief, so no additional briefing will be accepted. **Clerk to give Notice.**

11.	**30-2025-01480831** **Gutierrez vs. General Motors LLC**	**1. Motion for Summary Judgment and/or Adjudication** **2. Trial Setting Conference**

Defendant General Motors, LLC ("Defendant") moves for summary adjudication as to the first cause of action for declaratory relief, third cause of action for violation of the Song-Beverly Consumer Warranty Act express warranty, fourth cause of action for violation of the Song-Beverly Warranty Act implied warranty, fifth cause of action for violation of the Consumer Legal Remedies Act, sixth cause of action for violation of the Business and Professions Code, seventh cause of action for fraudulent misrepresentation, and eighth cause of action for negligent misrepresentation.

Plaintiff Peter Gutierrez Jr. ("Plaintiff") opposes the motion.

As an initial matter, the Court notes that there are some notably deficiencies in the opposing papers. First, the opposing papers are not accompanied by a proof of service. Defendant, however, does not make any arguments regarding service. Second, the Declaration of Colin Welsh is not signed. Plaintiff **shall** submit a signed declaration before the hearing. If Plaintiff fails to file an admissible declaration, the Court will amend the analysis below and omit the consideration of the Welsh declaration and exhibit therein. In the analysis below, the Court considered the exhibit to the Welsh declaration.

In addition, Plaintiff's **objections** are **OVERRULED**.

The burdens on summary judgment are as follows:

> "A defendant moving for summary judgment satisfies its burden by showing one or more elements of the cause of action in question cannot be established or there is a complete defense to that cause of action. If the defendant meets this initial burden, the opposing party must then make a prima facie showing of the existence of a triable issue of material fact. [Citation.] [¶] ... We strictly construe the moving party's affidavits and liberally construe the opposing party's affidavits. We accept as undisputed facts only those portions of the moving party's evidence that are not contradicted by the opposing party's evidence." (*RND Contractors, Inc. v. Superior Court* (2025) 112 Cal.App.5th 697, 702, *review denied (Oct. 15, 2025)*.)

As explained below, the Court finds that Defendant has carried its burden to establish that there are no triable issues of fact as to one or more elements of each cause of action at issue in the motion. Plaintiff has not made a prima facie showing of the existence of a triable issue of material fact as to any of the causes of action at issue.

I. CAUSES OF ACTION AT ISSUE

A. Third Cause of Action for Violation of the Song-Beverly Consumer Warranty Act - Express Warranty

Defendant argues that Plaintiff's third cause of action for violation of the Song-Beverly Consumer Warranty Act - express warranty is barred pursuant to the holding in *Rodriguez v. FCA US, LLC* (2024) 17 Cal.5th 189.

Defendant argues that the third cause of action fails because: (1) Plaintiff did not receive any new or additional warranty coverage from GM; when he bought the Silverado used from Hammer Toyota, he received only the unexpired balance of coverage remaining under the Warranty that GM issued when the vehicle was delivered new to the original owner, see Complaint ¶ 18; UMF ¶¶ 2, 6-7; Kay Decl. Ex. A; Jensen Decl. Ex. D, and (2) GM was not a party to Plaintiff's purchase and Hammer Toyota is not an authorized GM dealership and therefore, cannot sell a GM certified pre-owned vehicle, see UMF ¶ 3; Jensen Decl. ¶¶ 4-5; Kay Decl. Exs. A and E.

The Court agrees.

The primary holding in *Rodriguez v. FCA US, LLC* (2024) 17 Cal.5th 189 is that "a motor vehicle purchased with an unexpired manufacturer's new car warranty does not qualify as a 'motor vehicle sold with a manufacturer's new car warranty' under section 1793.22, subdivision (e)(2) 's definition of 'new motor vehicle' <u>unless the new car warranty was issued with the sale</u>." (*Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 196 [underline added].) The court held that "the phrase 'other motor vehicle sold with a manufacturer's new car warranty' — considered in the context of the surrounding text of section 1793.22, subdivision (e)(2) and in the broader context of the Song-Beverly Act's provisions distinguishing between new and used goods — means a <u>vehicle for which a manufacturer's new car warranty is *issued with the sale*</u>." (*Id*., at 206 [emphasis added].)

Thus, to be considered a new motor vehicle under the Act, a "new car" warranty must have been "*issued with* the sale" of the vehicle. (*Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 198 [emphasis in original] and 199-200 ["the phrase 'other motor vehicle sold with a manufacturer's new car warranty' is most naturally understood to mean other vehicles for which such a warranty is issued with the sale. (§ 1793.22, subd. (e)(2).)"].)

In issuing a "new car" warranty to a vehicle that is not technically new, "manufacturers (or their dealer-representatives) treat them as such upon sale by providing the same type of manufacturer's warranty that accompany new cars." (*Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 198 [citing *Rodriguez v. FCA US, LLC* (2022) 77 Cal.App.5th 209, 220, *aff'd* (2024) 17 Cal.5th 189].)

"For new products, liability extends to the manufacturer; for used products, liability extends to the distributor or retail seller and not to the manufacturer, at least where the manufacturer has not issued a new warranty or played a substantial role in the sale of a used good." (*Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 202.) "In both cases, the Act's protections are premised on an express warranty arising from the product's sale." (*Ibid*.)

Here, Defendant established that (1) Plaintiff did not receive any new or additional warranty coverage from GM; when he bought the Silverado used from Hammer Toyota, he received only the unexpired balance of coverage remaining under the Warranty that GM issued when the vehicle was delivered new to the original owner, see Complaint ¶ 18; UMF ¶¶ 2, 6-7; Kay Decl. Ex. A; Jensen Decl. Ex. D, and (2) GM was not a party to Plaintiff's purchase and Hammer Toyota is not an authorized GM dealership and therefore, cannot sell a GM certified pre-owned vehicle, see UMF ¶ 3; Jensen Decl. ¶¶ 4-5; Kay Decl. Exs. A and E.

These facts are undisputed despite Plaintiff's attempts to establish otherwise. Such undisputed facts bar Plaintiff's third cause of action for violation of the Song-Beverly Consumer Warranty Act - express warranty. Defendant did not issue a new car warranty with the purchase of this vehicle. Defendant was not involved in the purchase of this used vehicle.

In opposition, Plaintiff submits Defendant's "Special Coverage N242454441 Momentary Rear Wheel Lock-Up," which was released in December of 2024 and appears to be a new warranty issued for the vehicle at issue. The Special Coverage states the following:

"**Condition:** Certain vehicles listed above, may have a condition where the transmission control valve has worn, resulting in a gradual loss of pressure within the valve. The effects can cause harsh shifting, setting a service engine soon message, reduced engine performance or P0747 diagnostic trouble code.

Special Coverage: This special coverage covers the condition described above for a period of 15 years or 150,000 miles (240,000km), whichever occurs first, from the date the vehicle was originally placed in service, regardless of ownership.

For vehicles covered by Vehicle Service Contracts, all eligible claims with repair orders on or after November 26, 2024, are covered by this special coverage and must be submitted using the labor operation codes provided with this bulletin. Claims with repair orders prior to November 26, 2024, must be submitted to the Service Contract provider.

Vehicle owners or lessees who paid for repairs referenced in this Special Coverage ("Customers") are eligible for reimbursement of their reasonable and customary expenses in accordance with the procedures specified below. The conditional right to reimbursement is provided by GM solely in the interest of customer satisfaction and is personal to Customers. *Customers may not assign and GM does not consent to any assignment of any Customer's right to submit reimbursement claims, or to receive reimbursement, or any other rights granted by this Special Coverage to any third party, including but not limited to service contract providers, and this Special Coverage is not intended to and does not confer any third party beneficiary, subrogation or contribution rights, or any other rights to reimbursement, against GM, whether in law, equity or otherwise, on any third parties.*"

This Special Coverage is not of consequence because it was not issued with the sale of the vehicle, which *Rodriguez* repeatedly holds is required to qualify as a new vehicle warranty. (See *Rodriguez v. FCA US LLC* (2024) 17 Cal.5th 189, 202-203.) Likewise, the undisputed evidence shows that Defendant was not a party to the contract for the sale of the vehicle at issue and Defendant's new car warranty was not issued with the sale of the vehicle.

Plaintiff attempts to exclude Defendant's evidence that the vehicle was previously owned. However, as discussed above, the Court overruled Plaintiff's objections to the Jensen Declaration and exhibits therein. Defendant's "View Vehicle Summary" report is a business record that establishes prior ownership of the vehicle at issue. Plaintiff proffers no evidence that calls such ownership into question.

Given the above, the motion for summary adjudication is **GRANTED as to Plaintiff's third cause of action** for violation of the Song-Beverly Consumer Warranty Act - express warranty.

B. Fourth Cause of Action for Violation of the Song-Beverly Warranty Act - Implied Warranty

Defendant argues that Plaintiff's fourth cause of action for violation of the Song-Beverly Warranty Act - implied warranty is barred pursuant to the holding in *Nunez v. FCA US LLC* (2021) 61 Cal.App.5th 385, 399 because "Plaintiff bought the Silverado used, and has "no evidence that [GM] was a distributor or retail seller of [the used Silverado] or in any way acted as such."

The court in *Ruiz Nunez v. FCA US LLC* expressly held that "[i]t is evident from these [Song Beverly Act] provisions that only distributors or sellers of *used* goods—not manufacturers of *new* goods—

have implied warranty obligations in the sale of *used goods*." (*Ruiz Nunez v. FCA US LLC* (2021) 61 Cal.App.5th 385, 399 [citing Civ. Code, § 1795.5].)

"As one court has put it, the Song-Beverly Act provides similar remedies (to those available when a manufacturer sells new consumer goods) 'in the context of the sale of used goods, except that the manufacturer is generally off the hook.' " (*Ruiz Nunez v. FCA US LLC* (2021) 61 Cal.App.5th 385, 399 [citing *Kiluk v. Mercedes-Benz USA, LLC* (2019) 43 Cal.App.5th 334, 339 (Song-Beverly Act "generally binds only distributors and retail sellers in the sale of used goods")].) "[T]he assumption baked into section 1795.5 is that the manufacturer and the distributor/retailer are distinct entities." (*Ibid*.) An exception arises "[w]here the manufacturer sells directly to the public . . . [and] takes on the role of a retailer.' " (*Ibid*.)

Here, Plaintiff did not buy the used vehicle from GM and GM was not party to the transaction for the purchase of the vehicle at issue. Rather, the vehicle was purchased from Hamer Toyota, which is not an authorized GM dealership and cannot sell a certified pre-owned GM vehicle. Case law expressly establishes that only distributors or sellers of used goods have implied warranty obligations in the sale of a used good. GM did not sell the vehicle to Plaintiff.

The Motion for Summary Adjudication as to the **fourth cause of action** for violation of the Song-Beverly Warranty Act - implied warranty is **GRANTED**.

C. Fifth Cause of Action for Violation of the Consumer Legal Remedies Act

Plaintiff brings in fifth cause of action for violation of the Consumer Legal Remedies Act pursuant to Civil Code section 1170(a). Section 1170(a) states:

> "The unfair methods of competition and unfair or deceptive acts or practices listed in this subdivision undertaken by any person in a transaction intended to result or that results in the sale or lease of goods or services to any consumer are unlawful." (Civ. Code, § 1770, subd. (a).)

Here, Defendant has established that it was not a person in the transaction of the motor vehicle at issue and Defendant did not give Plaintiff a warranty for the motor vehicle at issue with the sale of the vehicle. The contract for the used motor vehicle was between Plaintiff and Hamer Toyota.

The motion for summary adjudication as to the **fifth cause of action** for violation of the Consumer Legal Remedies Act is **GRANTED**.

B. Sixth Cause of Action for Violation of the Business and Professions Code

Plaintiff's sixth cause of action is for violation of the Business and Professions Code.

"As used in this chapter, unfair competition shall mean and include any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code." (Bus. & Prof. Code, § 17200.)

"California courts have consistently interpreted the language of section 17200 broadly." (*Community Assisting Recovery, Inc. v. Aegis Security Ins. Co.* (2001) 92 Cal.App.4th 886, 891.) "It is not necessary to show that the defendant intended to injure anyone." (*Ibid*.)

"A business practice is unfair within the meaning of the UCL if it violates established public policy or if it is immoral, unethical, oppressive or unscrupulous and causes injury to consumers which outweighs its benefits." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1473.) "The determination whether a business practice is unfair involves an examination of [that practice's] impact on its alleged victim, balanced against the reasons, justifications and motives of the alleged wrongdoer." (*Ibid*.) "In brief, the court must weigh the utility of the defendant's conduct against the gravity of the harm to the alleged victim." (*Ibid*.)

"To bring a UCL claim, a plaintiff must show either an (1) unlawful, unfair, or fraudulent business act or practice, or (2) unfair, deceptive, untrue or misleading advertising." (*Adhav v. Midway Rent A Car, Inc.* (2019) 37 Cal.App.5th 954, 970.) "Because the UCL is written in the disjunctive, it establishes three varieties of unfair competition—acts or practices which are unlawful, or unfair, or fraudulent." (*Ibid*.)

As discussed under the other causes of action, Plaintiff has not established that Defendant has participated in any unlawful, or unfair, or fraudulent practices with regards to this transaction. Defendant was not a party to the transaction.

The motion for summary adjudication as to the **sixth cause of action** is for violation of the Business and Professions Code is **GRANTED**.

C. Seventh Cause of Action for Fraudulent Misrepresentation

"To establish a claim for fraudulent misrepresentation, the plaintiff must prove: '(1) the defendant represented to the plaintiff that an important fact was true; (2) that representation was false; (3) the defendant knew that the representation was false when the defendant made it, or the defendant made the representation recklessly and without regard for its truth; (4) the defendant intended that the plaintiff rely on the representation; (5) the plaintiff reasonably relied on the representation; (6) the plaintiff was harmed; and (7) the plaintiff's reliance on the defendant's representation was a substantial factor in causing that harm to the plaintiff." (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 605–606.)

Plaintiff alleges the following in support of his fraudulent misrepresentation cause of action against Defendant:

> "Before and at the time of the transactions, GM and potentially others unknown at this time concealed and/or omitted material facts from Plaintiff, including, but not limited to: (1) misrepresenting the terms of its express warranties; (2) misrepresenting that it would honor the warranties; misrepresenting that it was required to agree with its dealership's determinations; (3) misrepresenting that it has no control over its dealership; and (4) inserting unconscionable terms into the purchase documents." (Complaint, ¶ 140.)

As established above, Defendant was not a party to the transaction for the purchase of the vehicle. Therefore, Defendant did not "insert unconscionable terms into the purchase documents" or make any representations with the intention that Plaintiff reply on those representation in order to cause Plaintiff to purchase the vehicle at issue.

The Court notes that Defendant argues it is entitled to summary judgment because there is not fiduciary relationship between Plaintiff and Defendant. While a fiduciary relationship is not an element to this cause of action (or the eighth cause of action for negligent misrepresentation), the

Court finds summary adjudication appropriate for this cause of action based on the undisputed facts disused above.

The motion for summary adjudication as to the **seventh cause of action** for fraudulent misrepresentation is **GRANTED**.

D. Eighth Cause of Action for Negligent Misrepresentation

"The elements of negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage." (*Apollo Capital Fund, LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243.)

For the same reasons discussed above, the motion for summary adjudication as to **the eighth cause of action** for negligent misrepresentation is **GRANTED**.

E. First Cause of Action for Declaratory Relief

"A complaint for declaratory relief is legally sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties under a written instrument and requests that these rights and duties be adjudged by the court." (*Leonard Carder, LLP v. Patten, Faith & Sandford* (2010) 189 Cal.App.4th 92, 97.)

"Declaratory relief is available to '[a]ny person interested under a written instrument ... who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property ... in cases of actual controversy relating to the legal rights and duties of the respective parties ....' " (*Camden Systems, LLC v. 409 North Camden, LLC* (2024) 103 Cal.App.5th 1068, 1078–1079, *reh'g denied (Aug. 8, 2024)* [citing Code Civ. Proc., § 1060].) "Declaratory relief pursuant to this section has frequently been used as a means of settling controversies between parties to a contract regarding the nature of their contractual rights and obligations." (*Id*., 1079.)

As established above, there is no actual controversy between Plaintiff and Defendant because Defendant was not a party to the transaction for the purchase of the vehicle. As such, the motion for summary adjudication as to the **first cause of action** for declaratory relief is **GRANTED**.

Defendant to give notice.